

Interim Financial Statement - 4th Quarter
(For the Twelve months ended 31st March 2020)

Consolidated Income Statement

	Quarter ended 31st March		Twelve months ended 31st March	
	2020 Rs.' 000	2019 Rs.' 000	2020 Rs.' 000	2019 Rs.' 000
	Unaudited	Audited	Unaudited	Audited
Revenue	5,731,897	6,796,606	19,019,241	19,570,589
Revenue Tax	(84,269)	(157,466)	(430,854)	(516,004)
Net Revenue	5,647,628	6,639,140	18,588,387	19,054,585
Other Income/(Expense)	(26,384)	(78,173)	117,801	(60,812)
Staff Costs	(1,048,654)	(934,096)	(3,800,748)	(3,482,599)
Depreciation	(613,996)	(448,417)	(2,116,136)	(1,746,184)
Amortisation	(199,503)	(34,845)	(730,743)	(127,540)
Other Operating Expenses - Direct	(1,185,586)	(1,242,512)	(4,256,434)	(4,147,894)
Other Operating Expenses - Indirect	(1,695,590)	(1,991,406)	(6,238,460)	(6,754,597)
Profit from Operations	877,915	1,909,691	1,563,667	2,734,959
Finance Income	41,321	59,870	186,699	240,574
Finance Expense	(592,992)	(243,656)	(1,861,353)	(934,502)
Net Finance Income/(Expenses)	(551,671)	(183,786)	(1,674,654)	(693,928)
	326,244	1,725,905	(110,987)	2,041,031
Share of Profit/(Loss) of equity accounted investees net of tax	(90,000)	(24,984)	(322,036)	(136,706)
Profit/ (Loss) before Tax	236,244	1,700,921	(433,023)	1,904,325
Income Tax Expense	(117,204)	(339,660)	(462,701)	(707,161)
Profit/(Loss) for the period	119,040	1,361,261	(895,724)	1,197,164
Attributable to:				
Equity Holders of the Parent Company	151,135	886,976	(624,953)	810,581
Non -controlling interest	(32,095)	474,285	(270,771)	386,583
	119,040	1,361,261	(895,724)	1,197,164
Earnings /(Loss) per share for the period - Rs. (Basic / Diluted)	0.44	2.63	(1.90)	2.37

Company Income Statement

	Quarter ended 31st March		Twelve months ended 31st March	
	2020	2019	2020	2019
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
	Unaudited	Audited	Unaudited	Audited
Revenue	270,486	330,899	704,209	883,896
Revenue Tax	-	(7,145)	(7,517)	(19,532)
Net Revenue	270,486	323,754	696,692	864,364
Other Income	440,528	773,800	908,918	915,198
Staff Costs	(44,309)	(50,259)	(180,561)	(194,318)
Depreciation	(16,024)	(14,168)	(61,414)	(57,016)
Amortisation	(185,275)	(40,432)	(186,950)	(41,288)
Other Operating Expenses - Direct	(57,177)	(70,682)	(191,424)	(228,970)
Other Operating Expenses - Indirect	(104,029)	(96,358)	(325,335)	(326,304)
Profit from Operations	304,200	825,655	659,926	931,666
Finance Income	18,018	16,047	87,307	97,461
Finance Expense	(26,514)	(38,433)	(118,079)	(165,074)
Net Finance Income/(Expenses)	(8,496)	(22,386)	(30,772)	(67,613)
Profit before Tax	295,704	803,269	629,154	864,053
Income Tax Expense / refund	27,752	32,306	8,717	(5,286)
Profit for the period	323,456	835,575	637,871	858,767
Earnings per share for the period - Rs. (Basic / Diluted)	0.95	2.47	1.85	2.51

Consolidated Statement of Comprehensive Income

	Quarter ended 31st March		Twelve months ended 31st March	
	2020	2019	2020	2019
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
	Unaudited	Audited	Unaudited	Audited
Profit / (Loss) for the period	119,040	1,361,261	(895,724)	1,197,164
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Revaluation of property, plant and equipment	-	373,720	-	373,720
Share of other comprehensive income of equity accounted investees	5,358	264	5,358	264
Actuarial gains/ (losses) on defined benefit obligations	17,128	13,002	17,128	13,002
Income tax on other comprehensive income	(2,153)	(93,771)	(2,153)	(93,771)
	20,333	293,215	20,333	293,215
Items that are or may be reclassified to profit or Loss				
Foreign Currency translation differences of foreign operations	531,472	(571,178)	929,718	1,805,457
Net movement in fair value reserve	(14,878)	-	(14,878)	-
Net movement on cashflow hedging	(143,889)	364,223	(291,529)	(84,129)
	372,705	(206,955)	623,311	1,721,328
Other comprehensive income for the period net of tax	393,038	86,260	643,644	2,014,543
Total comprehensive income for the period net of tax	512,078	1,447,521	(252,080)	3,211,707
Attributable to:				
Equity Holders of the Parent Company	414,970	895,548	(202,358)	2,019,934
Non-controlling interests	97,108	551,973	(49,722)	1,191,773
	512,078	1,447,521	(252,080)	3,211,707

Statement of Comprehensive Income - Company

	Quarter ended 31st March		Twelve months ended 31st March	
	2020	2019	2020	2019
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
	Unaudited	Audited	Unaudited	Audited
Profit for the period	323,456	835,575	637,871	858,767
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Revaluation of property, plant and equipment	-	-	-	-
Actuarial gains/ (losses) on defined benefit obligations	2,619	2,082	2,619	2,082
Income tax on other comprehensive income	(367)	(291)	(367)	(291)
	2,252	1,791	2,252	1,791
Items that are or may be reclassified to profit or Loss				
Foreign Currency translation differences of foreign operations	-	-	-	-
Net change in fair value of available for sale financial assets	-	-	-	-
	-	-	-	-
Other comprehensive income for the period net of tax	2,252	1,791	2,252	1,791
Total comprehensive income for the period net of tax	325,708	837,366	640,123	860,558
Attributable to:				
Equity Holders of the Parent Company	325,708	837,366	640,123	860,558
Non-controlling interests	-	-	-	-
	325,708	837,366	640,123	860,558

Consolidated Statement of Financial Position

As at

	31.03.2020 Rs.' 000 Unaudited	31.03.2019 Rs.' 000 Audited
ASSETS		
Non Current Assets		
Property, plant and equipment	52,554,379	49,918,218
Right-Of-use assets	11,172,389	-
Leasehold properties	-	2,214,518
Prepaid operating leases	-	1,924,329
Intangible assets	580,627	472,879
Investments in equity accounted investees	910,478	1,249,902
Other financial assets	764,245	778,986
Deferred tax assets	295,849	160,942
	66,277,967	56,719,774
Current Assets		
Inventories	933,540	552,878
Trade and other receivables	1,681,349	2,094,744
Amount due from holding company	740,232	1,150,073
Amount due from parent's group entities	467,086	303,397
Deposits and prepayments	588,774	764,124
Prepaid operating leases	-	74,969
Current tax receivable	33,467	36,537
Other financial assets	128,828	53,108
Cash and cash equivalents	2,473,266	3,152,780
	7,046,542	8,182,610
Assets held for sale	1,025,525	-
TOTAL ASSETS	74,350,034	64,902,384
EQUITY AND LIABILITIES		
Equity Attributable to equity holders of the Parent		
Stated capital	3,554,587	3,554,587
Reserves	5,419,419	4,997,135
Retained earnings	11,588,894	12,787,099
	20,562,900	21,338,821
Non Controlling Interests	8,587,530	9,256,614
Total Equity	29,150,430	30,595,435
Non Current Liabilities		
Interest - bearing liabilities - banks	24,890,820	23,405,292
Interest - bearing liabilities - leases	8,609,274	-
Deferred tax liabilities	991,305	953,790
Other Liabilities	-	1,302,017
Employee benefits	209,714	206,750
	34,701,113	25,867,849
Current Liabilities		
Trade payables	940,582	923,504
Other provisions and payables	3,494,354	2,977,093
Amount due to holding company	134,293	110,020
Amount due to parent's group entities	74,009	56,051
Interest - bearing liabilities - banks	2,757,480	2,075,035
Interest - bearing liabilities - leases	524,112	-
Current tax payable	80,778	188,426
Short term bank borrowings	2,492,883	2,108,971
	10,498,491	8,439,100
Total Liabilities	45,199,604	34,306,949
TOTAL EQUITY AND LIABILITIES	74,350,034	64,902,384
Net Asset value per share (Rs.)	60.66	62.96

The Chief Financial Officer certifies that the Financial Statements have been prepared in compliance with the requirement of the Companies Act No. 07 of 2007.



Deshamanya D.H.S Jayawardena
Chairman



Dr. M.P Dissanayake
Managing Director



D.G.P Ekanayake
Assistant Vice President - Finance

Colombo
21st May 2020

Company Statement of Financial Position

As at

	31.03.2020 Rs.' 000 Unaudited	31.03.2019 Rs.' 000 Audited
ASSETS		
Non Current Assets		
Property, plant and equipment	1,624,222	1,602,490
Intangible assets	3,271	3,061
Investments in subsidiaries	8,006,841	7,704,201
Investments in equity accounted investees	1,222,873	1,282,873
Other financial assets	606,058	632,311
	11,463,265	11,224,936
Current Assets		
Inventories	19,624	20,287
Trade and other receivables	136,869	161,267
Amount due from holding company	32,148	312,619
Amount due from parent's group entities	112,006	111,589
Deposits and prepayments	8,066	25,645
Current tax receivable	17,371	12,190
Other financial assets	82,686	39,975
Cash and cash equivalents	502,765	456,931
	911,535	1,140,503
TOTAL ASSETS	12,374,800	12,365,439
EQUITY AND LIABILITIES		
Equity Attributable to equity holders of the parent		
Stated Capital	3,554,587	3,554,587
Reserves	705,961	705,961
Retained earnings	6,618,247	6,329,264
Total Equity	10,878,795	10,589,812
Non Current Liabilities		
Interest - bearing liabilities - banks	471,763	400,600
Deferred tax liabilities	41,434	49,783
Employee benefits	34,545	35,472
	547,742	485,855
Current Liabilities		
Trade creditors	17,997	29,165
Other Provisions and payables	105,638	143,309
Amount due to holding company	42,836	24,149
Amount due to parent's group entities	501,284	783,146
Interest - bearing liabilities - banks	255,898	279,630
Short term bank borrowings	24,610	30,373
	948,263	1,289,772
Total Liabilities	1,496,005	1,775,627
TOTAL EQUITY AND LIABILITIES	12,374,800	12,365,439
Net Asset value per share (Rs.)	31.86	31.00

The Chief Financial Officer certifies that the Financial Statements have been prepared in compliance with the requirement of the Companies Act No. 07 of 2007.



Deshamanya D.H.S Jayawardena
Chairman



Dr. M.P Dissanayake
Managing Director



D.G.P Ekanayake
Assistant Vice President - Finance

Colombo
21st May 2020

Statement of Changes in Equity

For the twelve months ended 31st March

GROUP

	Attributable to Equity Holders of the parent							Total	Non Controlling Interest	Total Equity
	Stated Capital	General Reserves	Fair Value Reserve	Foreign Currency Translation Reserve	Cashflow hedge Reserve	Revaluation Reserve	Retained Earnings			
	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
Balance as at 01st April 2018	3,554,587	22,929	-	1,946,932	(576,239)	2,401,406	12,421,600	19,771,215	8,122,788	27,894,003
Adjustment on initial application of SLFRS 09, net of tax	-	-	-	-	-	-	(13,373)	(13,373)	(434)	(13,807)
Restated Balance as at 01st April 2018	3,554,587	22,929	-	1,946,932	(576,239)	2,401,406	12,408,227	19,757,842	8,122,354	27,880,196
Profit/(Loss) for the period	-	-	-	-	-	-	810,581	810,581	386,583	1,197,164
Other Comprehensive Income	-	-	-	1,102,199	(50,477)	150,385	7,246	1,209,353	805,190	2,014,543
Total Comprehensive Income	-	-	-	1,102,199	(50,477)	150,385	817,827	2,019,934	1,191,773	3,211,707
Effect of % holding change in subsidiaries	-	-	-	-	-	-	(3,742)	(3,742)	(3,742)	-
Dividends - 2017/18	-	-	-	-	-	-	(435,213)	(435,213)	-	(435,213)
Dividends paid to non controlling interest	-	-	-	-	-	-	-	-	(61,255)	(61,255)
Balance as at 31st March 2019	3,554,587	22,929	-	3,049,131	(626,716)	2,551,791	12,787,099	21,338,821	9,256,614	30,595,435
Less : adjustments										
- on initial application of SLFRS 16, net of tax	-	-	-	-	-	-	(318,054)	(318,054)	(277,099)	(595,153)
- on application of IFRIC 23	-	-	-	-	-	-	(693)	(693)	(430)	(1,123)
Resated balance as at 01st April 2019	3,554,587	22,929	-	3,049,131	(626,716)	2,551,791	12,468,352	21,020,074	8,979,085	29,999,159
(Loss) for the period	-	-	-	-	-	-	(624,953)	(624,953)	(270,771)	(895,724)
Other Comprehensive Income	-	-	(14,878)	596,128	(174,917)	-	16,262	422,595	221,049	643,644
Total Comprehensive Income	-	-	(14,878)	596,128	(174,917)	-	(608,691)	(202,358)	(49,722)	(252,080)
Effect of % holding change in subsidiaries	-	-	-	-	-	15,951	80,373	96,324	(96,324)	-
Dividends - 2018/19	-	-	-	-	-	-	(351,140)	(351,140)	-	(351,140)
Dividends paid to non controlling interest	-	-	-	-	-	-	-	-	(245,509)	(245,509)
Balance as at 31st March 2020	3,554,587	22,929	(14,878)	3,645,259	(801,633)	2,567,742	11,588,894	20,562,900	8,587,530	29,150,430

Statement of Changes in Equity - Company

For the twelve months ended 31st March

COMPANY	Stated Capital	General Reserve	Revaluation Reserve	Retained Earnings	Total Equity
	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
Balance as at 01st April 2018	3,554,587	22,929	683,032	5,916,326	10,176,874
Adjustment on initial application of SLFRS 09, net of tax	–	–	–	(12,407)	(12,407)
Restated Balance as at 01st April 2018	3,554,587	22,929	683,032	5,903,919	10,164,467
Profit for the period	–	–	–	858,767	858,767
Other Comprehensive Income	–	–	–	1,791	1,791
Total Comprehensive Income	–	–	–	860,558	860,558
Dividends - 2017/18	–	–	–	(435,213)	(435,213)
Balance as at 31st March 2019	3,554,587	22,929	683,032	6,329,264	10,589,812
Profit for the period	–	–	–	637,871	637,871
Other Comprehensive Income	–	–	–	2,252	2,252
Total Comprehensive Income	–	–	–	640,123	640,123
Dividends -2018/19	–	–	–	(351,140)	(351,140)
Balance as at 31st March 2020	3,554,587	22,929	683,032	6,618,247	10,878,795

Statement of Cash Flows

	GROUP		COMPANY	
<i>For the twelve months ended</i>	31.03.2020	31.03.2019	31.03.2020	31.03.2019
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Cash Flows from Operating Activities	Unaudited	Audited	Unaudited	Audited
Profit / (Loss) before Taxation	(433,023)	1,904,325	629,154	864,053
Adjustments for				
Depreciation	2,116,136	1,746,184	61,414	57,016
Amortisation of lease and intangible assets	730,743	127,540	2,172	1,288
Impairment/(reversal of impairment) of trade debtors	80,782	7,704	6,968	717
Impairment/(reversal of impairment) of financial assets	3,603	(7,816)	3,603	(6,214)
Impairment of investment in subsidiaries and equity accounted investees	-	-	184,778	40,000
Loss on liquidation of a subsidiary	-	-	9,921	-
Interest Expense	1,861,353	934,502	118,079	165,074
Interest Income	(186,699)	(240,574)	(87,307)	(97,461)
Loss on disposal of investments	-	5,556	-	-
(Profit)/Loss on disposal of Property, Plant and equipment	(1,552)	(13,415)	(2,510)	(98)
Provision for Employee Benefits	40,348	40,944	6,730	6,463
Share of (Profit)/Loss of equity accounted investees net of tax	322,036	136,706	-	-
Effect of movement in exchange rates	3,695	87,125	(12,594)	4,929
	4,537,422	4,728,781	920,408	1,035,767
Operating profit before working capital changes				
(Increase) / Decrease in Inventories	(380,662)	(124,341)	663	953
(Increase) / Decrease in Trade and other receivables	332,613	(23,929)	14,604	24,751
(Increase) / Decrease in Amount due from Holding Company	409,841	314,091	280,427	218,951
(Increase) / Decrease in Amount due from Parent's Group Entities	(163,689)	65,386	(417)	204,862
(Increase) / Decrease in Deposits and Prepayments	175,350	(230,886)	17,579	(15,724)
Increase / (Decrease) in Trade Payables	17,078	323,275	(11,168)	(9,658)
Increase / (Decrease) in Provisions and other Payables	517,261	26,668	(37,671)	26,954
Increase / (Decrease) in Amount due to Holding Company	24,273	(724,965)	18,687	(252,340)
Increase / (Decrease) in Amount due to Parent's Group Entities	17,958	(10,668)	(330,278)	65,834
Cash generated from/(used in) operations	5,487,445	4,343,412	872,834	1,300,350
Interest Paid	(1,683,017)	(898,722)	(82,849)	(151,844)
Gratuity Paid	(25,934)	(25,012)	(5,038)	(4,071)
Income Tax Paid	(474,723)	(560,737)	(2,354)	(21,221)
Net cash flow generated from/(used in) operating activities	3,303,771	2,858,941	782,593	1,123,214

(Carried Forward to next page)

Statement of Cash Flows

	GROUP		COMPANY	
For the twelve months ended	31.03.2020	31.03.2019	31.03.2020	31.03.2019
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
	Unaudited	Audited	Unaudited	Audited
Net Cash flow generated from / (used in) from operating activities	3,303,771	2,858,941	782,593	1,123,214
(Brought Forward from previous page)				
Cash Flow from Investing Activities				
Proceeds from debt securities	13,333	26,546	13,333	26,546
Investment in equity	-	(227,879)	(437,339)	(401,079)
Acquisition of Property Plant and Equipment	(3,255,080)	(6,803,628)	(84,356)	(47,275)
Purchase of Intangible Assets	(98,652)	(12,830)	(2,382)	(2,844)
Proceeds from disposal of investments	-	13,677	-	3,780
Proceeds from sale of Property, Plant & equipment	5,344	22,391	3,720	4,116
Interest received	153,304	220,599	53,913	83,195
Proceeds/(Purchase) of term deposits	(33,009)	488,888	-	-
Net cash flow generated from/(used in) investing activities	(3,214,760)	(6,272,236)	(453,111)	(333,561)
Cash Flows from Financing Activities				
Proceeds from long term bank borrowings	1,941,023	7,701,286	127,261	-
Repayment of long- term bank borrowings	(1,561,981)	(6,437,502)	(66,600)	(266,400)
Repayment of long- term lease liabilities	(1,219,741)	-	-	-
Dividends paid to equity holders of the parent	(351,140)	(435,213)	(351,140)	(435,213)
Dividend paid to shareholders of non-controlling interest	(245,509)	(61,255)	-	-
Net cash flow generated from/(used in) financing activities	(1,437,348)	767,316	(290,479)	(701,613)
Net Increase / (Decrease) in cash & cash equivalents	(1,348,337)	(2,645,979)	39,003	88,040
Cash & cash equivalents at the beginning of the year	1,328,720	3,689,788	439,152	338,518
Cash & cash equivalents at the end of the year	(19,617)	1,043,809	478,155	426,558
Analysis of cash & cash Equivalents at the end of the year				
Cash at Bank, in hand and short term deposits	2,473,266	3,152,780	502,765	456,931
Bank Overdrafts	(2,492,883)	(2,108,971)	(24,610)	(30,373)
Cash & cash equivalents as previously reported	(19,617)	1,043,809	478,155	426,558
Effect of movement in exchange rates	-	284,911	-	12,594
Cash & cash equivalents at the end of the year	(19,617)	1,328,720	478,155	439,152

Notes to Interim Financial Statements

1 Segmental Results

1.1 Revenue

	External	Intra Group	GROUP	
			Total	Total
<i>For the twelve months ended 31st March</i>			2020	2019
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Sri Lankan Sector				
Resorts and Hotels	4,710,107	15,825	4,725,932	6,490,959
Others	48,129	495,834	543,963	586,486
Total Sri Lankan Sector	4,758,236	511,659	5,269,895	7,077,445
South Asian and Middle East Sector	14,261,005	149,639	14,410,644	13,182,149
	19,019,241	661,298	19,680,539	20,259,594
Intra Group			(661,298)	(689,005)
Total			19,019,241	19,570,589

1.2 Profit/(Loss) before taxation

	GROUP	
<i>For the twelve months ended 31st March</i>	2020	2019
	Rs.' 000	Rs.' 000
Sri Lankan Sector		
Resorts and Hotels	(190,899)	590,748
Others	166,612	169,603
	(24,287)	760,351
Share of Profit / (Loss) of equity accounted investees	(322,036)	(136,706)
Total Sri Lankan Sector	(346,323)	623,645
South Asian and Middle East Sector	(86,700)	1,280,680
Total	(433,023)	1,904,325

1.3 Total Assets

	GROUP	
<i>For the twelve months ended 31st March</i>	2020	2019
	Rs.' 000	Rs.' 000
Sri Lankan Sector		
Resorts and Hotels	21,081,474	21,857,069
Others	361,135	246,513
	21,442,609	22,103,582
Investment in equity accounted investees	889,003	1,228,427
Total Sri Lankan Sector	22,331,612	23,332,009
South Asian and Middle East Sector	52,018,422	41,570,375
Total	74,350,034	64,902,384

Notes to Interim Financial Statements

2 Basis of preparation

The Financial statements of the Company and those consolidated with such for the interim period have been prepared on the same accounting policies and methods of computations as in the most recent audited financial statements and are in compliance with LKAS 34-Interim Financial Reporting.

The accounting policies have been consistently applied by the Group and are consistent with those used in the previous year except for changes described in Note 13. The presentation and classification of the financial statements of the previous periods have been amended where relevant to be comparable with those of the current year.

3 Dividend paid

The company paid a first and final ordinary dividend of Rs. 1.00 per share for the year ended 31st March 2019 on 09th July 2019 after it was approved by the board. Total ordinary dividend payment amounted to Rs. 336,290,010/-.

Further, company has paid a preference share dividend of Rs. 0.90 per share for the year ended 31st March 2019 on 09th July 2019 as preference shareholders are entitled to dividends at 9% annually. Total preference share dividend payment amounted to Rs.14,850,000/-.

4 Fair value measurement and related fair value disclosures

All significant differences in the comparison made between fair value and carrying value of financial assets and liabilities, were adjusted in the interim financial statement as at 31st March 2020. There were neither transfers between different levels of fair value hierarchy nor changes to assets classes classified under recurring and non-recurring basis. Valuation techniques or significant unobservable inputs used for measuring level 2 and level 3 fair values remains unchanged from reporting date as at 31st March 2019.

During the period under review there were no transfers in and out of level 3 financial instrument measurement and any change in fair values are captured in the statement of other comprehensive income.

Unquoted equity shares that are subjected to level 3 of fair value measurement hierarchy, were revalued as at the reporting date. Fair value would not significantly vary if one or more unobservable inputs used for valuation were changed.

5 Contingencies, capital and other commitments

The contingent liability as at 31st March 2020 on guarantees given by Aitken Spence Hotel Holdings PLC to third parties on facilities obtained by subsidiaries amounted to Rs. 16,641,883,826 (as at 31.03.2019 - Rs. 16,351,021,550/-). Liability as at 31st March 2020 on guarantees given by subsidiaries to third parties amounted to Rs.4,107,592,200 (as at 31.03.2019 - 3,675,089,000/-).

6 Events after the reporting period

The board resolved to recommend the payment of preference dividend of Rs. 0.90 per share for the year ended 31st March 2020 once approved by the shareholders at the annual general meeting

There were no material events that occurred after the reporting date that require adjustments to or disclosure in the financial statements other than stated above.

7 Impact due to COVID - 19

The outbreak of COVID 19 has caused disruption to many local and global business and economic activities. The Group has been closely monitoring the impact of the pandemic on the Group's business operations as at year end and also in the immediate future. Commencing from the latter part of the financial year this global health hazard had an adverse impact on Hotel industry. All hotels in the Group except the hotel in India which remains open with limited operations for few inhouse -guests, were compelled to be closed down temporary.

Group has implemented all possible measures for the safety of the staff employed in all locations operating, adhering to Government and health authority guidelines and rules.

Considering the global economic impact of the virus and its effect on the Group, adjustments have been made to certain reported balances as at 31st March 2020. The Group is closely monitoring the liquidity position of all companies and is availing itself of the concessions granted by lending institutions, while servicing other existing debt requirements and managing the working capital.

The Group has considered the "Guidance Notes on Accounting Considerations of the COVID 19 Outbreak (updated on 11th May 2020)" and "FREQUENTLY ASKED QUESTIONS (FAQs) on Guidance Notes on Accounting Considerations of the COVID 19 Outbreak (updated on 11th May 2020)" issued by CA Sri Lanka, when preparing these financial statements.

8 Assets classified as held for sale

The carrying value of the leasehold rights of Raafushi Island was classified under "Assets held for sale" during the year under review, consequent to the decision made by Ace Resorts (Pvt) Ltd., to dispose its lease.

9 liquidation of a subsidiary

Crest Star Ltd; a subsidiary of the company incorporated in Hongkong was liquidated during the year ended 31st March 2020. Resultant impact of liquidation is recorded in the income statement of the holding company.

10 Seasonality of operations

Six months of the period under review relates to the off season of the tourism industry both in Sri Lanka and overseas, the group operates.

Notes to Interim Financial Statements

- 11** There was no liability to management fees or any other similar expenditure not provided for in the interim financial statements.
- 12** The Income tax of the Company and the Group for the financial year 2019/2020 is calculated as per the proposed amendments to the Inland Revenue Act No 24 of 2017, as per the notice issued by the Department of Inland Revenue on the instructions of the Ministry of Finance on 12th of February 2020 "Implementation of Proposed Changes to the Inland Revenue Act, No. 24 of 2017" and further amended by notice issued by the Department of Inland Revenue dated on 8th of April 2020. The Company and the Group has adopted the above on the basis that formal amendments to the Inland Revenue Act No 24 of 2017 would be made in near future. In addition, the Company and the Group has calculated and remitted the Income tax payments for the Financial year 2019-2020 on the same basis.

The Company and the Group has computed deferred tax at the rates as legislated in the Inland Revenue Act, No. 24 of 2017, as per the guidelines issued by the CA Sri Lanka on "Application of Tax Rates in Measurement of deferred Tax" issued in 2015.

13 New accounting standards and interpretations

13.1 SLFRS 16 – Leases

SLFRS 16 Leases, replaces the existing leasing guidance, including LKAS 17 Leases, IFRIC 4 Determining whether an arrangement contains a lease, SIC -15 Operating leases – Incentives and SIC-27 Evaluating the Substance of transactions involving the legal form of a lease. SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under a one single balance sheet model similar to the accounting for finance leases under LKAS 17.

As prescribed by this standard, the Group recognise an asset (right-of-use asset) representing its right to use the underlying assets and lease liability representing its obligation to make lease payments. Subsequently on an on going basis the Group will be separately recognising the interest expense on the lease liability and the depreciation expense on the right-of-use asset.

Nature of the effect of adoption of SLFRS 16

The Group has lease contracts for various items such as land, building, vehicles and equipment. Land leases are the major asset included in the right-of-use assets category, typically made up to 99 years of lease term and have extension options. However, the Group has elected not to recognise right-of-use assets and lease liabilities for short-term leases and leases of low-value items. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

Initial application

The Group initially adopted SLFRS 16 from 01 April 2019 using the modified retrospective approach, under which the cumulative effect of initial application is recognised in retained earnings at the date of initial application (i.e. 01 April 2019). Accordingly the information presented for 2018/2019 has not been restated, i.e. it is presented, as previously reported, under LKAS 17 and related interpretations. Additionally, the disclosure requirements in SLFRS 16 have not generally been applied to comparative information.

The following table summarizes the impact, net of tax, of transition to SLFRS 16 - "Leases" as at 01 April 2019.

	Rs.'000
Assets	
Property, plant & equipment	50,666
Right-of-use assets	9,000,325
Leasehold properties	(2,214,518)
Pre-paid operating leases	(1,999,298)
Lease equilisation reserves	1,302,017
Investments in equity-accounted investees	(7,869)
Deferred tax assets	192,101
Deposits and prepayments	(34,343)
Total Assets	6,289,081
Equity	
Retained earnings	427,690
Non-controlling interests	359,564
	787,254
Less: tax impact	(192,101)
	595,153
Liabilities	
Interest bearing liabilities - Leases	(6,884,234)
	(6,884,234)
Total Equity & Liabilities	(6,289,081)

Leases previously classified as leasehold properties and pre-paid operating leases

For leases previously classified as leasehold properties and pre-paid operating leases, the Group recognised the carrying amount of the lease asset immediately before transition as the carrying amount of the right-of-use asset. The requirements of SLFRS 16 were applied to these leases from 1 April 2019. Leases previously accounted for as operating leases from 01 April 2019.

Leases previously accounted for as operating leases

The Group recognised right-of-use assets and lease liabilities for those leases previously classified as operating leases, except for short-term leases and leases of low-value assets. The right-of-use assets for most leases were recognised based on the carrying amount as if the standard had always been applied, apart from the use of incremental borrowing rate at the date of initial application. Lease liabilities were recognised based on the present value of the remaining lease payments, discounted using the incremental borrowing rate at the date of initial application.

Impact for the period

As a result of applying SLFRS 16, the Group recognised Rs. 11.2 billion as right-of-use assets and Rs. 9.1 billion as lease liabilities as at 31st March 2020 in the statement of financial position. Also, in relation to those leases under SLFRS 16, the Group recognised Rs.704.7 million of amortisation charges and Rs. 585.1 million of interest costs during the twelve months ended 31st March 2020 instead of operating lease expenses in the income statement. Therefore, the additional impact on the income statement due to the application of this standard during the quarter is Rs. 70.1 million.

13.2 IFRIC Interpretation 23 Uncertainty over Income Tax Treatment

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of IAS 12 Income Taxes. It does not apply to taxes or levies outside the scope of IAS 12, nor does it specifically include requirements relating to interest and penalties associated with uncertain tax treatments.

The Group has applied significant judgement in identifying uncertainties over income tax treatments and has considered each uncertain tax treatment separately and used the approach that would predict the resolution of the uncertainty.

Upon adoption of the interpretation, except for the uncertain income tax positions recognized in the equity of Rs 1.123 mn under initial application, the Group determined that its tax treatments will be accepted by the taxation authorities.

Investor Information

1 Share Information

	31.03.2020	31.03.2019
Market Price per Share		
- Highest (Rs.)	27.70	29.80
- Lowest (Rs.)	15.00	21.00
- Last Traded Price (Rs.)	15.00	23.50
The closing price (Rs.)	15.10	23.50
Number of shares represented by the stated capital		
	31.03.2020	31.03.2019
- Ordinary	336,290,010	336,290,010
- Preference	16,500,000	16,500,000

2 Percentage of shares held by the public as at 31st March 2020 is 25.39%. Number of public shareholders as at 31st March 2020 was 3,648.

3 The float adjusted market capitalisation as at 31st March 2020 was Rs. 1,289,630,766/- with reference to section 7.6 (iv) of the Listing Rules of the Colombo Stock Exchange. As the float adjusted market capitalisation is less than Rs. 2.5 billion, Aitken Spence Hotel Holdings PLC complies under option 5 with the minimum public holding requirement.

4 Shares held by the Directors are as follows:

Name of the Director	Position	No of Shares 31.03.2020	No of Shares 31.03.2019
Deshamanya D.H.S. Jayawardena	Chairman	-	-
Dr. M.P. Dissanayake	Managing Director	-	-
Ms. D.S.T Jayawardena	Director	16,000	16,000
Mr. C.M.S Jayawickrama	Director	-	-
Mr. J.M.S Brito	Director	331,021	331,021
Mr. R.N Asirwatham	Director	1,000	1,000
Mr. C.H Gomez	Director	-	-
Mr. N.J. de S. Deva Aditya	Director	-	-
Mr. G.P.J Goonewardena	Director	5,460	5,460
		353,481	353,481

5 Twenty Largest Shareholders as at 31st March 2020

Name of the Share Holder	No of Shares	%
Aitken Spence PLC A/C #01	239,472,667	71.21
Employees Provident Fund	31,501,601	9.37
Sri Lanka Insurance Corporation Ltd. - Life Fund	5,518,727	1.64
Ace Cargo (Private) Limited	4,423,601	1.32
Aitken Spence Hotel Managements (Private) Limited	3,530,639	1.05
Aitken Spence Aviation (Private) Limited	2,604,140	0.77
Bank of Ceylon No 01. Account	2,547,424	0.76
Employees Trust Fund Board	2,370,705	0.70
Ceylon Guardian Investment Trust PLC A/C # 02	2,245,982	0.67
J B Cocoshell (Private) Limited	2,210,655	0.66
National Savings Bank	2,102,133	0.63
G.C Wickremasinghe	2,082,241	0.62
Associated Electrical Corporation Limited	1,500,000	0.45
Ceylon Investments PLC A/C # 02	1,283,675	0.38
A.T Wickramasinghe	1,245,004	0.37
Bank of Ceylon A/C Ceybank Century Growth Fund	1,078,773	0.32
M.J Fernando	1,000,000	0.30
K Fernando	991,149	0.29
Ceylon Investments PLC A/C # 01	985,900	0.29
Rubber Investment Trust Limited A/C # 01	826,548	0.25
	309,521,564	92.05

Corporate Information as at 31.03.2020

Directors

Deshamanaya D.H.S Jayawardena - Chairman
Dr. M.P. Dissanayake - Professor Maritime Studies, Alumini USJ, Norad, JICA, University of Oxford- Business Alumini. Harvard business school (EEP), fellow (CIM.ICS,CILT-UK) - Managing Director
Ms. D.S.T Jayawardena
Mr. C.M.S Jayawickrama - FCMA
Mr. J.M.S Brito - LLB, FCA, MBA
Mr. R.N Asirwatham - FCA
Mr. C.H Gomez
Mr. N.J. de Silva Deva Aditya - DL, FRSA, MEP
Mr. G.P.J Goonewardena

Legal Form

A public quoted Company with limited liability
Incorporated in Sri Lanka on 14th March 1978

Company registration Number

PQ 97

Secretaries

Aitken Spence Corporate Finance (Private) Limited.
No 315, Vauxhall Street,
Colombo 02,
Sri Lanka.
Tel: (94 11) 2308308
Fax: (94 11) 2308099

Registrars

Central Depository Systems (Private) Limited.
Ground Floor, M & M Centre,
No. 341/5, Kotte Road,
Rajagiriya, Sri Lanka.
Tel: (94 11) 2356456
Fax: (94 11) 2440396

Registered Address

No 315, Vauxhall Street,
Colombo 02,
Sri Lanka.
Tel: (94 11) 2308308